February 14, 2025

DEG: The Digital Entertainment Group today released its Year-End 2024 Digital Media Entertainment Report compiled by DEG members, tracking sources and retail/platform input.[1]

U.S. Consumer Spending on Digital Entertainment Consumed at Home and on the Go Grew $10 Billion in 2024, Surpassing $57 Billion

Ad revenue from AVOD/FAST channel streaming approached $23 billion, according to Omdia, as consumers embrace lower cost services with ads

Overall U.S. consumer spending across digital and physical home entertainment formats in 2024 was almost $57.2 billion, a 21 percent increase from the more than $47 billion consumers spent in 2023, driven largely by the continued growth of subscription streaming (SVOD)[2]. In the year's final quarter, overall consumer spending rose 15 percent, representing just over $15 billion.

Consumers spent $56.2 billion on digital entertainment purchases (EST[3]), rentals (VOD[3]) and subscriptions for the full year, a jump of 22.2 percent over full year 2023; and $14.8 billion for the fourth quarter, up 16.1 percent.

Among the highlights for the Fourth Quarter and Full Year 2024:

- Spending on subscription streaming rose 25.3 percent for full year 2024, topping $52 billion, and accounting for 91.3 percent of all U.S. consumer spending on home entertainment. In the fourth quarter, U.S. spending on subscription streaming reached $13.8 billion, representing growth of 18.3 percent, a slower rate than in earlier quarters due to some consumers shifting to lower-cost subscription plans with ads.

- Ad-supported premium AVOD and FAST content produced estimated advertising revenue of $22.8 billion in 2024 according to estimates from Omdia[4], as more major streamers diversified their offerings to include lower cost subscription plans with ads. Omdia estimates show ad revenue grew by more than 44 percent for the full year. In the final quarter of the year, revenue from AVOD and FAST was $6.7 billion, representing growth of 37.7 percent.

- For the year, total spending on digital transactions (including all VOD and EST, but excluding subscription streaming) showed resilience, falling about 7 percent for the full year, despite an almost 16 percent drop in box-office spending on titles released to the home. In the fourth quarter, spending on digital transactions fell 6 percent.

- Theatrical new releases are historically a key driver of transactional home entertainment spending and softness in this area contributed to declines in EST, which was off 10.2 percent for the year. In the fourth quarter, however, spending on EST fell just 3.5 percent, with a 3 percent increase in spending on TV titles, including the return of *Yellowstone* with Season 5 Part 2.

- For the full year, spending on VOD tapered just 2.8 percent, with a 2 percent increase in rentals of theatrical titles, as consumers continued to embrace feature-length theatricals released for home viewing in the premium window, particularly during the first three quarters. In the fourth quarter, spending on digital rentals fell 10.4 percent.

- Spending on physical formats[5], including DVD, Blu-ray and 4K UHD continued to decline, dropping 23.4 percent for full year 2024 and the fourth quarter. Being less dependent on the theatrical slate, collectibles ran counter to the trend, however, as 4K UHD catalog releases held stable with 2023 and spending on titles in premium Steelbook packaging grew. Studio insights show that holiday catalog titles performed strongly, including *How the Grinch Stole Christmas* (2000), *The Grinch* (2018) and *Home Alone* (1990), as did older franchises drafting on new installments in theaters during 2024, including *Beetlejuice (1988), Dune (2021), Inside Out (2015)*, and *Twister (1996)*.

- Among the full year's best-performing titles across all transactional formats, were *The Beekeeper* (Amazon MGM); *Beetlejuice, Beetlejuice* (WBD); *Civil War* (A24); *Deadpool & Wolverine* (Disney); *Despicable Me 4* (Universal); *Dune Part 2* (WBD); *Gladiator II* (Paramount); *The Hunger Games: Ballad of Songbirds and Snakes* (Lionsgate); *Inside Out 2* (Disney); *It Ends With Us* (Sony); *Twisters* (Universal); and *Venom: The Last Dance* (Sony).

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[1] Please note, these numbers are preliminary. Contact DEG for an updated version in March.
[2] SVOD data sourced from Omdia.
[3] Digital transaction spending (EST and VOD) includes premium releases.
[4] Premium ad-supported video data sourced from Omdia represents revenue from AVOD (ad-supported video on demand) and FAST (free ad-supported streaming TV) services specializing in premium, typically long-form, content.
- Includes Discovery+, Disney+, Freevee, HBO Max, Hulu, LG Channels, Netflix, Paramount+, Peacock, Pluto TV, Roku Channel, Samsung TV+, Tubi, Vix, Vizio WatchFree+, as well as legacy TV Everywhere services and other premium AVOD/FAST.
- Excludes social video services such as YouTube or TikTok.
- For hybrid services, such as Hulu, the data represents only the advertising revenue and does not include subscription revenue generated by the hybrid tier.
Note: Data represents U.S. only and is preliminary.
[5] Physical product category includes consumer spending for sell-thru transactions.

For reference, DEG provides a list of digital entertainment terms and definitions on its web site here**.**

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2024 - Year end Home Entertainment Spending

U.S. Consumer Spending ($ in millions)	Q1-2023	Q1-2024	Q1-YOY	Q-2 2023	Q-2 2024	Q2- YOY	Q-3 2023	Q-3 2024	Q3 -YOY	Q-4 2023	Q-4 2024	Q4-YOY	YTD 2023	YTD 2024	YOY
Physical Product*	$ 275.18	$ 233.24	-15.24%	$ 304.94	$ 218.16	-28.46%	$ 289.41	$ 215.05	-25.69%	$ 382.90	$ 293.14	-23.44%	$ 1,252.43	$ 959.59	-23.38%
Digital**															
Electronic Sell-Thru (EST)	$ 564.35	$ 564.34	0.00%	$ 695.07	$ 552.48	-20.51%	$ 664.58	$ 564.30	-15.09%	$ 713.27	$ 688.17	-3.52%	$ 2,637.27	$ 2,369.28	-10.16%
VOD	$ 443.47	$ 459.57	3.63%	$ 480.54	$ 457.48	-4.80%	$ 354.57	$ 356.76	0.62%	$ 409.86	$ 367.37	-10.37%	$ 1,688.44	$ 1,641.18	-2.80%
Subscription Streaming (SVOD)***	$ 9,676.53	$ 12,510.81	29.29%	$ 9,932.54	$ 12,816.10	29.03%	$ 10,414.72	$ 13,109.45	25.87%	$ 11,634.77	$ 13,759.91	18.27%	$ 41,658.56	$ 52,196.27	25.30%
Total Digital	$ 10,684.35	$ 13,534.72	26.68%	$ 11,108.14	$ 13,826.06	24.47%	$ 11,433.87	$ 14,030.51	22.71%	$ 12,757.91	$ 14,815.45	16.13%	$ 45,984.26	$ 56,206.73	22.23%
Total U.S. Home Entertainment Spending	$ 10,959.53	$ 13,767.95	25.63%	$ 11,413.08	$ 14,044.22	23.05%	$ 11,723.27	$ 14,245.56	21.52%	$ 13,140.81	$ 15,108.59	14.97%	$ 47,236.70	$ 57,166.32	21.02%
Box Office in Billions	$2.09	$1.50	-28.20%	$1.76	$1.58	-10.06%	$3.04	$2.37	-21.93%	$ 2.06	$ 2.08	0.94%	$ 8.94	$ 7.53	-15.80%

*Physical Product represents consumer spending for sell-thru product only

**Digital transaction spending (EST and VOD) includes premium releases

**SVOD data sourced from Omdia (technology.informa.com). Disclaimer: The data is not an endorsement and reliance is at a third party's own risk.

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